

FEDERAL MARITIME COMMISSION

DOCKET NO. 96-06

RIVER PARISHES COMPANY, INC.

v.

ORMET PRIMARY ALUMINUM CORPORATION

ORDER VACATING RULING GRANTING RESPONDENT'S
MOTION FOR DISMISSAL IN PART

This proceeding originated with the filing of a complaint with the Federal Maritime Commission ("**Commission**") by River Parishes Company, Inc. ("**RIVCO**" or "**Complainant**") against Ormet Primary Aluminum Corporation ("**Ormet**" or "**Respondent**"), alleging that Ormet violated sections 10(b) (11) and (12) and 10(d) (1) and (3) of the Shipping Act of 1984 ("**1984 Act**"), 46 U.S.C. app. §§ 1709(b) (11), (b) (12), (d) (1) and (d) (3). RIVCO is a tug company engaged in the towing business, including the furnishing of tugs for the docking and **undocking** of all types of oceangoing vessels. Ormet is the operator of the **Burnside** Terminal, leased from the Greater Baton Rouge Port Commission.

RIVCO asserts that Ormet entered into an exclusive towing arrangement with the Bisso Towing Company ("**Bisso**") to furnish tugboat services, which arrangement denied all other tug companies the right to bring their own customers to the **Burnside** Terminal. This, RIVCO argues, resulted in unjust and unreasonable prejudice and disadvantage and established unjust and unreasonable

regulations and practices related to or connected with the receiving and handling of property with respect to ocean common carriers in the foreign commerce of the United States, within the meaning of the cited provisions of the 1984 Act.

The proceeding is now before the Commission on a Motion for Leave to Appeal an interlocutory ruling certified to the Commission by the Chief Administrative Law Judge, Norman D. Kline ("AL,") .

MOTION AND REPLIES

A. Ormet's Motion for Dismissal in Part

Ormet filed a motion requesting that the ALJ dismiss the complaint in part, and limit this proceeding to matters over which the Commission has jurisdiction ("Motion"). Specifically, Ormet requests that the ALJ rule that Complainant is not entitled to reparations or prospective relief with respect to any activities at Burnside Terminal that are not furnished in connection with a common carrier.

Ormet claims that it does not serve common carriers at the Burnside Terminal, and therefore, the Commission does not have jurisdiction over this matter. New Orleans S.S. Ass'n v. Bunae Corp., 8 F.M.C. 687 (1965). However, in the event that jurisdiction is established and it is determined that Ormet did violate the Shipping Act, Ormet seeks a ruling that the Commission does not have jurisdiction over every activity of a marine terminal operator ("MTO") and any relief to which RIVCO may be entitled must be limited to activities related to common carriers. As a

consequence, **Ormet** urges that if RIVCO should ultimately be successful in proving violations of the 1984 Act, RIVCO not recover any reparations nor be granted a cease and desist order with respect to any non-common carriage vessel that has called, or will call, at the **Burnside** Terminal.

B. RIVCO's Reply in Opposition to Motion for Dismissal in Part

RIVCO submitted a Reply in opposition to the Motion. RIVCO argues that what **Ormet** presents as facts are merely legal conclusions. It maintains that not enough information is available to resolve the jurisdictional issue at this point and thus the factual foundation of the Motion is not in place. RIVCO asserts that the operations at the **Burnside** Terminal do not lend themselves to any conclusive determination that the vessels served are not common carriers or owned or operated by COMMON carriers. In fact, whether or not common carriers are, or have been, served at **Burnside** and thus whether or not the Commission has jurisdiction over this dispute are said to be matters still undergoing discovery and have yet to be conclusively determined.

Should jurisdiction be established, RIVCO objects to **Ormet's** segmentation of activities at the marine terminal into those which are subject to Commission jurisdiction and those which are not. Rather, RIVCO maintains that once Commission jurisdiction has been established, the Commission then has jurisdiction over all activities at the marine terminal that involve receiving, handling, storing or delivering property. RIVCO concludes that the Commission has found jurisdiction in the past over a marine

terminal on the basis of minimal common carrier activity and seeks dismissal of the **Motion**.¹

RULING AND APPEALS

A. ALJ Ruling Granting Ormet's Motion

The ALJ granted **Ormet's** Motion. First, he held that the Commission does not have direct jurisdiction over towing activities, but exercises derivative jurisdiction over exclusive towing practices because they restrict carriers' access to terminals and usurp the carriers' functions of selecting towing companies themselves.

Second, he held that because the Commission's jurisdiction over marine terminal operators derives from its main jurisdiction over common carriers, any relief would have to be framed to coincide with the Commission's statutory jurisdiction and not infringe upon **Ormet's** non-common-carrier-connected activities any more than necessary to relieve the adverse effects on common carriers. Thus, the ALJ found that if RIVCO is able to establish jurisdiction by showing that common carriers have called at **Burnside** Terminal, and to prove that **Ormet** violated the Shipping Act by granting an exclusive towing contract to Bisso, then the Commission would have the authority to issue the appropriate remedial orders. He further ruled, however, that any reparations or cease and desist orders must be limited to activities related to

¹See Prudential Lines, Inc. v. Continental Grain Co., 21 S.R.R. 1172 (1982), Bethlehem Steel Corp. v. Indiana Port Commission, 14 S.R.R. 561 (1974) and Grace Line, Inc. v. F.M.B., 280 F.2d 790 (2d Cir. 1960).

common carriers.

Finally, the ALJ ordered the parties to continue with discovery to determine whether common carriers have been served at the **Burnside** Terminal and whether the Commission has jurisdiction over this matter.

B. RIVCO's Appeal from Ruling of Presiding Officer'

RIVCO states that the issue presented on appeal is "whether the scope of the Commission's jurisdiction over marine terminal operators, both from a substantive standpoint and from the standpoint of remedies, extends to all regulations and practices related to or connected with receiving, handling, storing or delivering property or only to those related to such services provided to common carriers." RIVCO maintains that the ruling by the ALJ which opts for a limited construction of the Commission's jurisdiction is reversible error based on Commission precedent, the 1984 Act and public policy.

Ormet filed a Reply to RIVCO's Motion for Leave to Appeal, wherein it does not oppose that motion, but seeks a stay in the proceeding until the Commission issues its ruling, to avoid "wasteful and duplicative discovery." The ALJ granted RIVCO's request but denied Ormet's request for a stay after obtaining RIVCO's response opposing any stay in the proceeding.

²RIVCO filed an appeal directly to the Commission pursuant to Rule 227 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227, and filed a Motion for Leave to Appeal pursuant to Rule 153, 46 C.F.R. § 502.153. The ALJ granted the Motion for Leave to Appeal.

DISCUSSION

The issue of whether or not the Commission has jurisdiction over this proceeding has not yet been determined. The parties are currently engaged in discovery to determine whether any vessels calling at the **Burnside** Terminal have been common carriers, and, therefore, whether the Commission has jurisdiction over the complaint pending before the ALJ.

It is generally more expeditious to resolve the jurisdictional question prior to addressing the merits of the controversy. Osborn v. United States, 918 F.2d 724 (8th Cir. 1990). Thus, it is premature to prescribe the limits of the Commission's jurisdiction with respect to the activities of an entity when the parties are still in the process of establishing whether that entity is, in fact, subject to the Commission's jurisdiction. It is speculative at best to attempt to determine the extent of Commission jurisdiction in a case where perhaps one, or perhaps one hundred, common carriers have called at the Terminal.

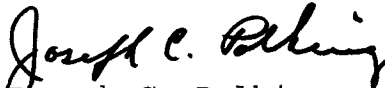
Moreover, if, in fact, the Complainant is able to establish that the Commission has personal jurisdiction over the Respondent by virtue of serving common carriers at the **Burnside** Terminal, only then should the issue of the Commission's subject matter jurisdiction be addressed. It appears, however, that the ALJ prematurely defined the scope of the Commission's subject matter jurisdiction by limiting relief to activities involving common carriers.

It is not generally necessary or appropriate to attempt to delineate the scope of possible remedies and reparations in a proceeding prior to a determination of liability. While such a ruling might be useful to a party for purposes of assessing its potential liability, and perhaps to limit the scope of a complainant's case, there is no justification for issuing a ruling restricting the scope of possible remedies before it is determined whether any remedies are called for.

Thus, it is found that the decision to limit any possible relief was issued prematurely. Consequently, the Commission will vacate the ruling granting Ormet's Motion.

THEREFORE, IT IS ORDERED, That the ruling granting Respondent's Motion for Dismissal in Part is vacated.

By the Commission.


Joseph C. Polking
Secretary